

Confusion Matrix
Multivariate Metrics } 30 mins

Agenda

Hands on

⇒ Imbalanced class + Multiclass problem

⇒ Build classification Models.

⇒ SMOTE

⇒ Comparison of metrics Imbalance &
Balance

⇒ Questions & Take away: for End of this Session

① How are the assets frozen for deployment?

② Multiple frameworks supporting deployment of ML models.

③ What is Streamlit?

Session 1

Revision

→ Regression: → Classification:

Input - X (Numerical
+
Categorical)

Out - y (Numerical
continuous)

Input - X (Numerical
+
Categorical)

Out - y (Categorical
Discrete)

⇒ What we saw?

Binary Classification. Yes
No

Yesterday Extended
ML/DL Goal Multiple classes Yes
Maybe
No Metric

Data Preprocessing

What is currently
this data

What is the
config

Person?

CHOICE of Model

Eg) Tree based?

Linear model?

Distance based?

Hyper param
tuning

⇒ ① Logistic Regression - Binary class Model.
(Because of 'S' Sigmoid)

SOFTMAX Regression

(variant)

Multi-class classification

(per class regression line)

Binary Metric		Multiclass Metric
Matrix 2×2		$N \times N$
Outputs TP/FP/TN/FN		Actuals
want approval.		low med High

Actual

	App	Rej
→ Predict App	True App ✓	False approved ✗
Rej	False Res ✗	True Res ✓

$$\text{Accuracy} = \frac{\text{True App} + \text{True Res}}{\text{Total}}$$

Predict

low	True low ✓	False low ✗	False low ✗
Med	False Med ✗	True Med ✓	False Med ✗
High	False High ✗	False High ✗	True High ✓

False High ✗ low ✓
C low, High

Precision: When I predict approved, how often is it actually approved?

$$\text{Accuracy} = \frac{\text{Sum of diag}}{\text{Total}}$$

True Approved
True App + false approved

Recall:

Out of actual approvals how many did the model actually find

True Approvals

True approvals + false

low approval Actual

	App	Rej
→ Predict App	True App ✓	False approved ✗
Rej	False Res ✗	True Res ✓

$$\text{Accuracy} = \frac{\text{True App} + \text{True Res}}{\text{Total}}$$

Every
Predict ——— Precision

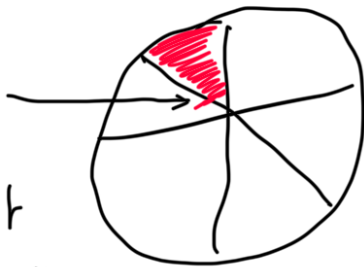
Rej.



Real is a
proportion
against

Your
actuals

Precise
Weak
metric
against
your
prediction



1 -

		Actuals		
		low	Med	High
Predicted	low	True low ✓	False low ✗	False low ✗
	Med	False Med ✗	True Med ✓	False Med ✗
	high	False High ✗	False High ✗	True High ✓

False High ✗

$$\text{Precision}_{\text{low}} = \frac{\text{True low}}{\text{True low} + \text{False lows}} (C_{\text{Med, low}}, C_{\text{Hig, low}})$$

$$\text{Precision}_{\text{Med}} = \frac{\text{True Med}}{\text{True Med} + C_{\text{LM}} + C_{\text{HM}}}$$

$$\text{Precision}_{\text{Hig}} = \frac{\text{True High}}{\text{True High} + \text{False Highs.}}$$

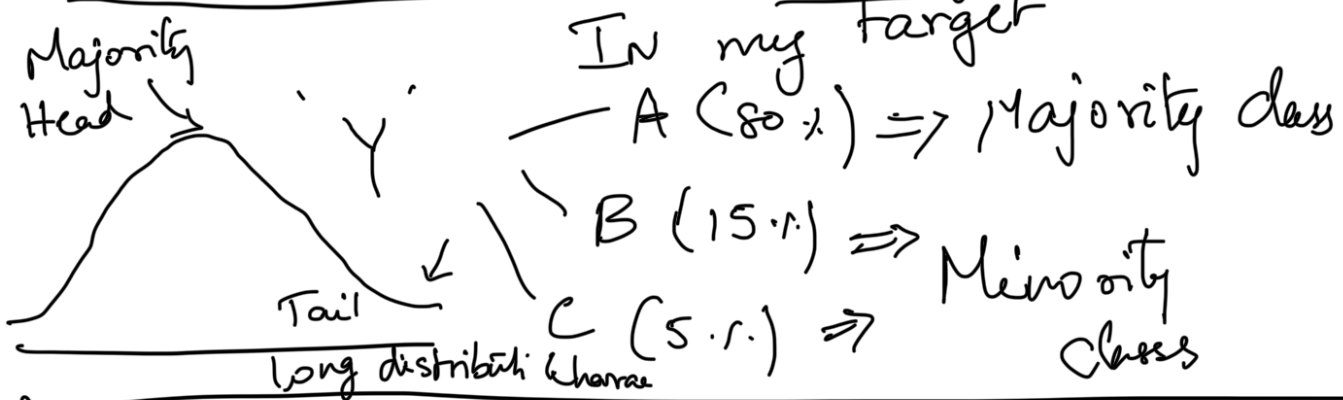
$$\text{Recall}_{\text{low}} = \frac{\text{True lows}}{S(\text{Actual lows})}$$

$$\text{Recall}_{\text{high}} = \frac{\text{True Highs}}{S(\text{Actual Highs})}$$

$$\text{Recall}_{\text{Med}} = \frac{\text{True Med}}{S(\text{Actual Medium})}$$

Model $\rightarrow$ Predict Majority Well

IMBALANCED CLASSES $\leftarrow$ Data
Adjusting Metrics

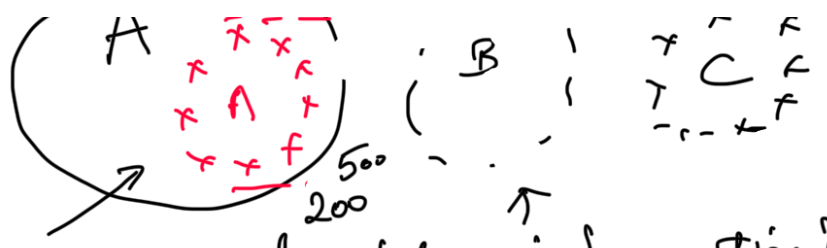


① UNDER SAMPLING

10% Major
30% All
100% Minor

UNDER SAMPLE
But I make my




 model learn all classes equally
 Random Undersampling
 Reduce valuable information?

Oversampling $\Rightarrow$ Duplicates Minority

SYNTHETIC MINORITY OVERSAMPLING TECHNIQUE

① Random Oversampling $\rightarrow$ Overfitting problem.

② SMOTE $\rightarrow$ New points KNN $\Rightarrow$ $\uparrow$
 Read on this Sub a a

③ ADASYN - Patterns via/Generate
 duplicates of outliers from
 Minority.

IMBALANCE

DT

Actual

Prediction

Non-fraud	450 ✓	50 ✗	500
Fraud	45 ✗	5 ✓	50
	495	55	550

50 rows = 1
 5 fraud

550

500 - 0
 50 - 1

① Accuracy = $\frac{450 + 5}{550} = \frac{455}{550} = 82.7\%$

The way in which I am quantifying my model performance has to change.

② Can I somehow Engineer the data in such a way that I make my model understand fraudulent cases as well?

⇒ UNDERSAMPLING

x May

Fraudulent
55 rows
Non-Fraudulent
455 rows
↓
55

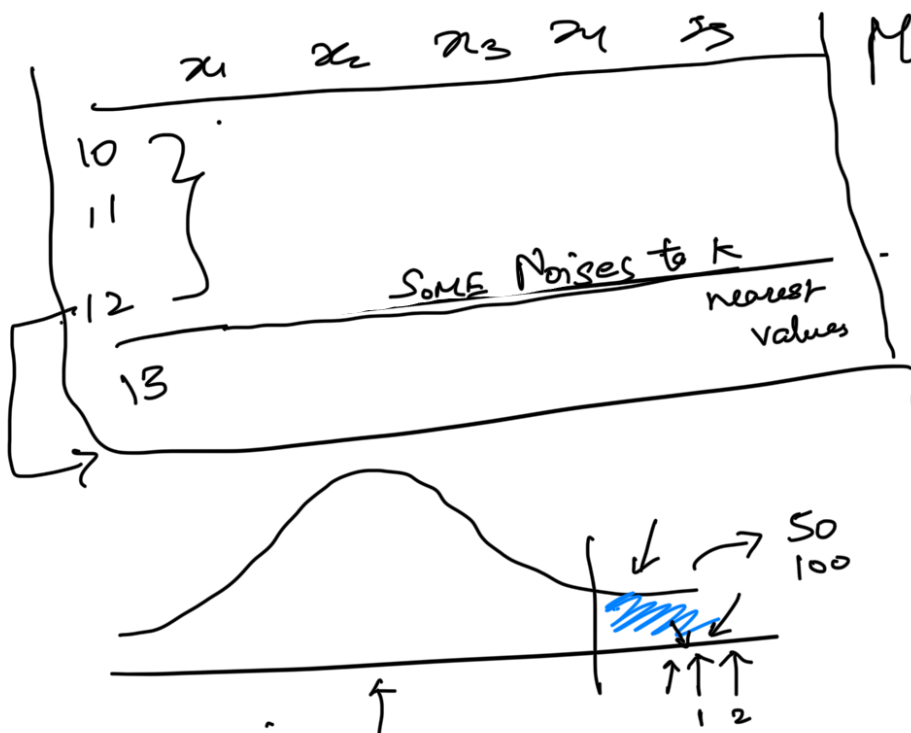
Reduce your model's
understand on non-
fraudulent cases

{ 55, 55 } $\rightarrow (10)$

OVERSAMPLING

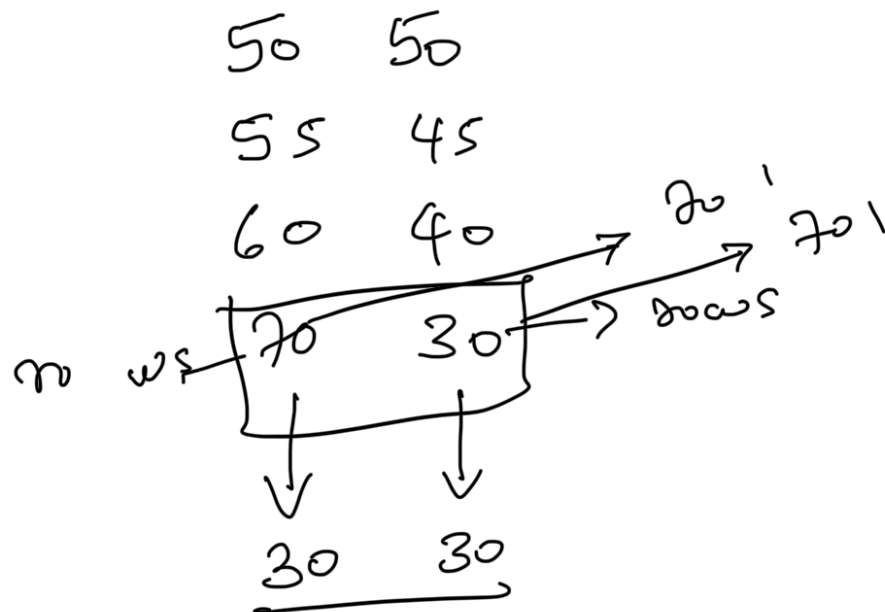
Oversample portions
in such a way that
I increase the
count of minor class

INCREASE COUNT OF



MINOR CLASS
0 - 455
1 - 455

3
 70% Major $\left(\begin{array}{l} 60\% \text{ A} \\ 40\% \text{ B} \end{array} \right)$
 15% - B
 15% - C



How will we handle imbalance via model performance quantification?

- ① Accuracy fails $\rightarrow$ favours class skewness
- ② Precision & Recall methods.

Precision & Recall.

F₁ Score.

① Arithmetic Mean

② Exponent Modig Avg

(3) WMA

(4) Harmonic Mean.

dividing total No. of values

Sum of their reciprocals.

Driving 60 km $\xrightarrow{60 \text{ km/h}}$ $60 / 60 \text{ km/hr} = 1 \text{ hr}$

$\xleftarrow{20 \text{ km/h}}$ $60 / 20 \text{ km/hr} = \underline{3 \text{ hr.}}$

$$\text{Arith} = \frac{60 + 20}{2} = 40 \text{ km/h}$$
$$\frac{120 \text{ kms}}{4 \text{ hours}} = 30 \text{ km/h}$$

$$H = \frac{2}{\frac{1}{60} + \frac{1}{20}} = \frac{2}{\frac{4}{60}} = 30 \text{ km/hr}$$

Reciprocals $\rightarrow 1/60 + 1/20$

$$\boxed{H = \frac{2ab}{a+b}}$$

It represents "True Rate" of a System

True Rate or F_1 Score = $\frac{2 \text{ Precision} \times \text{Recall}}{\text{Precision} + \text{Recall}}$

True appraisals
Out of actual appraisals
VS
True appraisals predicted

Above Risk

Below Risk

out of an
Precision $\frac{\text{actual}}{\text{pred.}}$

f. High Risk

Multiclass Classification